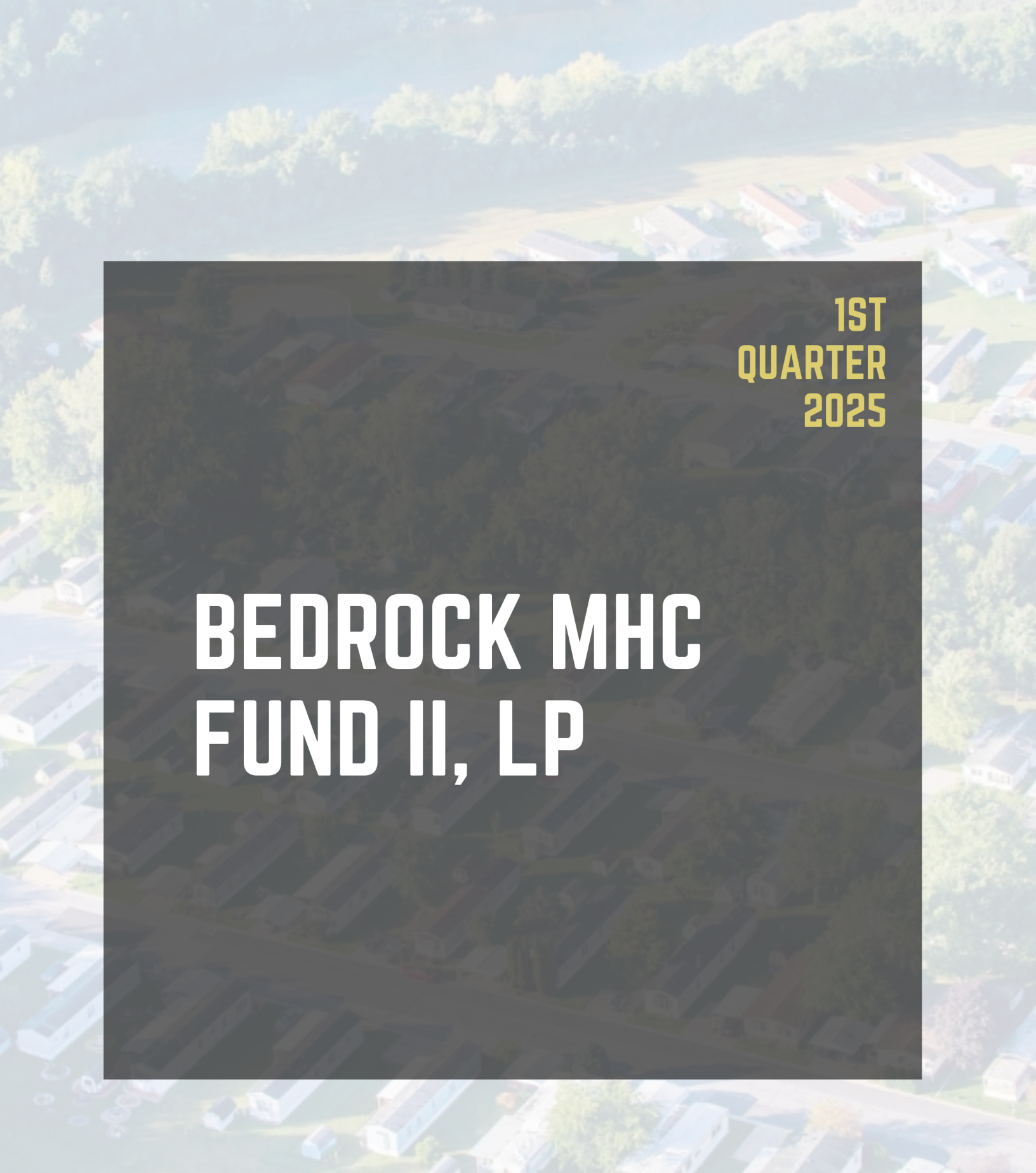


1ST QUARTER 2025

BEDROCK MHC FUND II, LP

10221 RIVER ROAD #59831 POTOMAC, MD 20859

(202) 838-6471

Dear Partners,

We are pleased to present the latest quarterly update for BMHC2. This report outlines the macroeconomic trends that are influencing the manufactured housing sector and provides a space for detailed information about our portfolio assets and their returns.

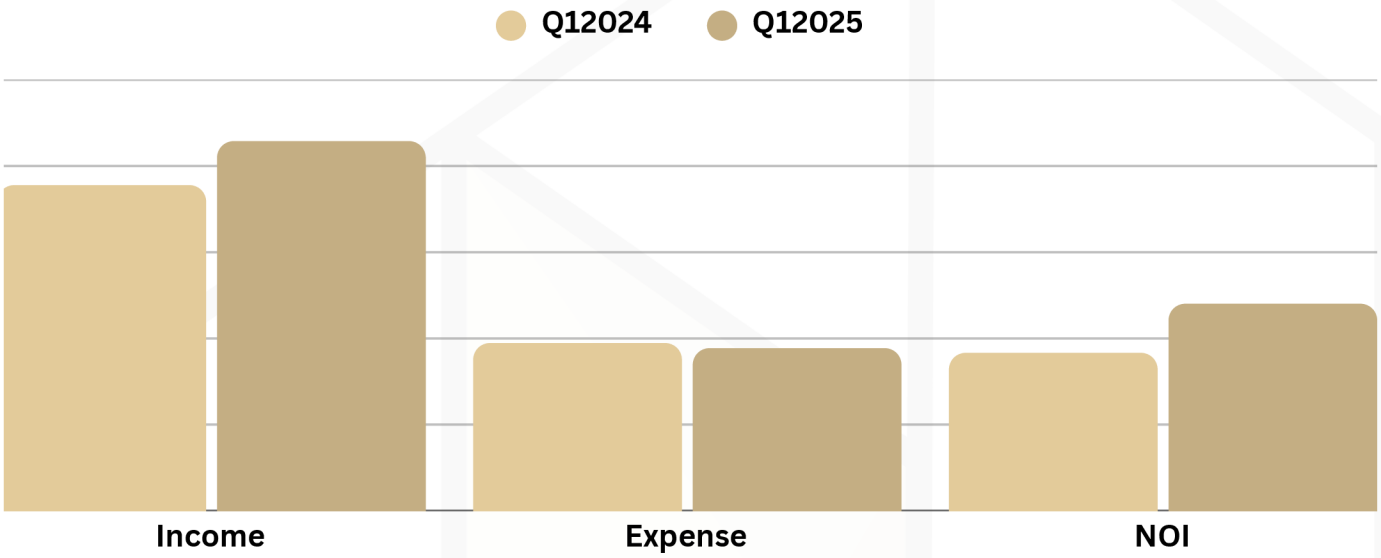
The start of 2025 brought a mix of stabilization and uncertainty across the U.S. economy. Inflation cooled slightly to 3.3%, and while wage growth kept pace, elevated interest rates continued to dampen housing affordability. The Federal Reserve held rates steady at 5.25%, opting to maintain a high-interest environment to avoid a resurgence of inflation.

In the housing sector, demand for affordable options such as manufactured housing remains strong. With the average 30-year mortgage hovering around 6.9%, many families continue to defer home purchases and seek rental options. This macro dynamic supports occupancy in MHCs, which remains near 95% nationally.

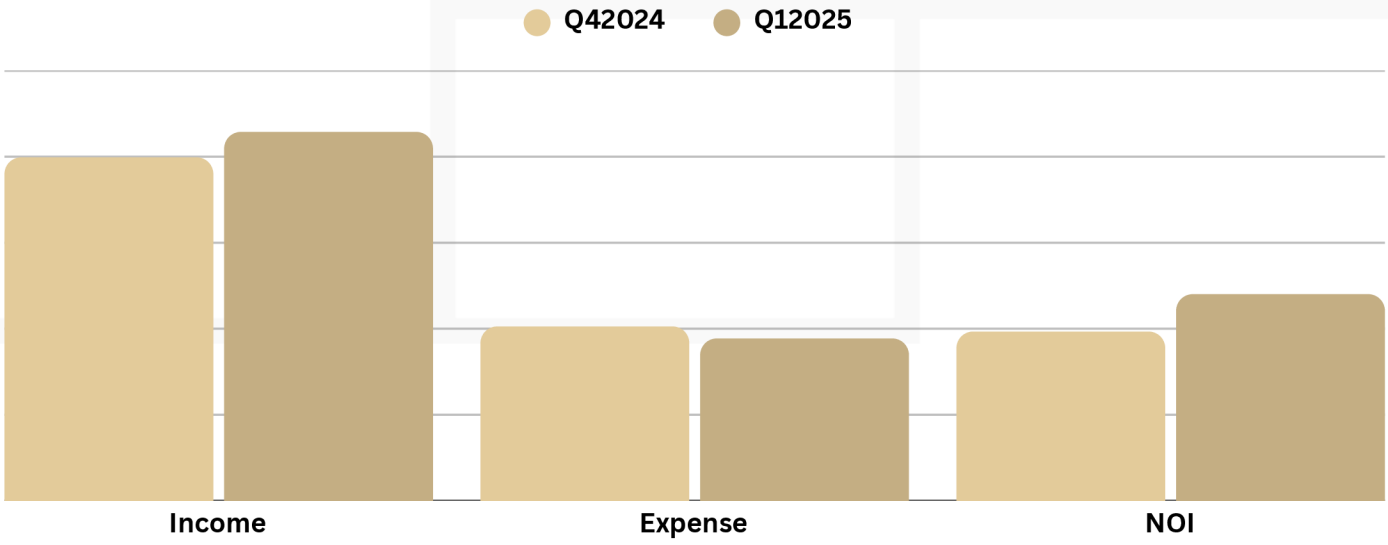
Meanwhile, transaction volume in the sector remains limited due to capital constraints and low refinancing incentives. Deals that are getting done often involve seller financing, all-cash buyers, or distressed assets. Institutional interest persists, but underwriting is tighter and asset-level performance is under greater scrutiny than ever. Operators with active management and clear capex plans are outperforming in today's market.

FINANCIAL UPDATE

Net operating income was up 31% year over year, primarily due to our increase in revenue. Revenue increased as a result of our annual rent increases as well as occupancy across the portfolio has improved. Expenses were lower year over year due to lower repairs & maintenance costs as well as a reduction in property level payroll.



Net operating income was up 22% quarter over quarter. The drivers that lead to this improvement was the rent increases that went into effect at the beginning of 2025 as well as a reduction in our legal and professional fees quarter over quarter.

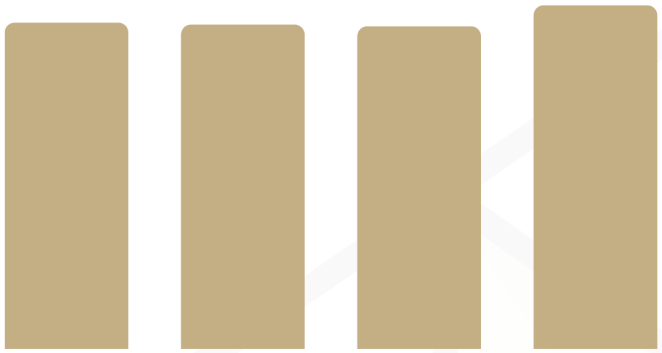


FINANCIAL UPDATE

Main factors that had an effect on our financials:

REVENUE FACTORS

RENTAL INCOME



Rental Income was up roughly 7% quarter over quarter.

UTILITY INCOME



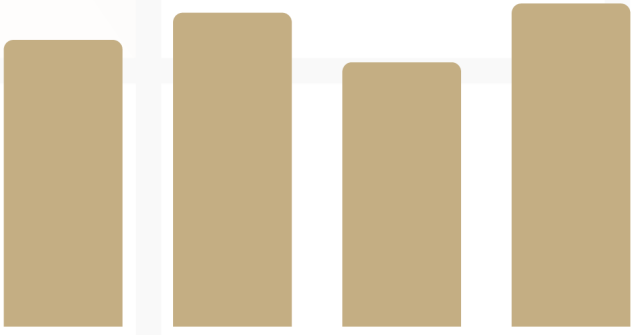
Utility income continues to increase as our collections and bill back ratio has improved

REIMBURSEMENTS



The spike in Q3 of 2024 was related to our tax reimbursement collections which we expect to see again in the 3rd quarter of 2025

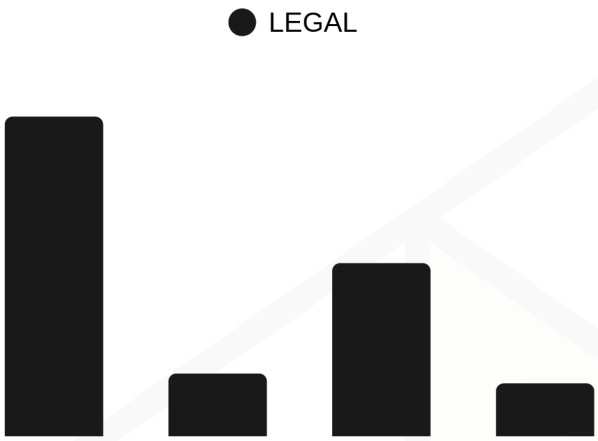
MISC & FEES



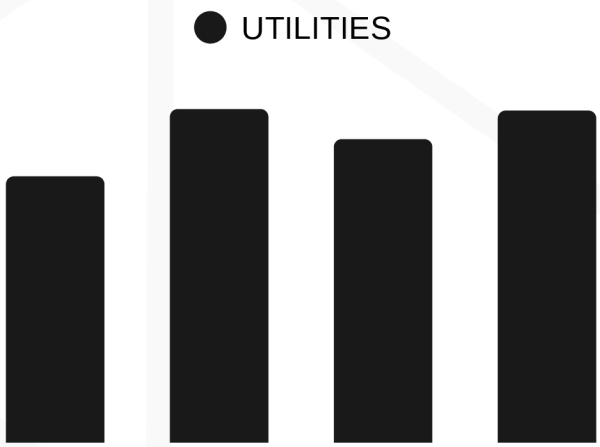
Consistently in line with expectations as these are miscellaneous fees we do not budget for

FINANCIAL UPDATE

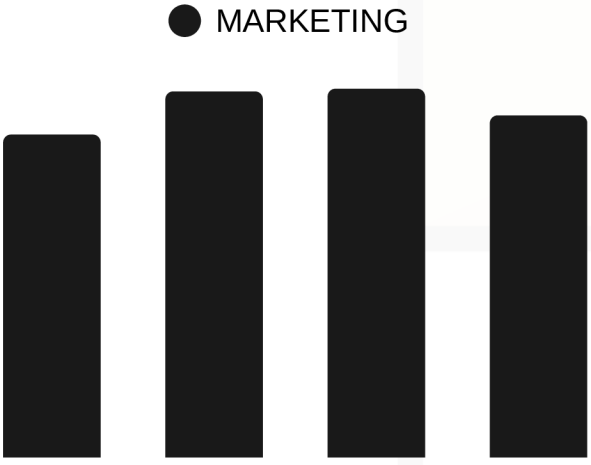
EXPENSE FACTORS



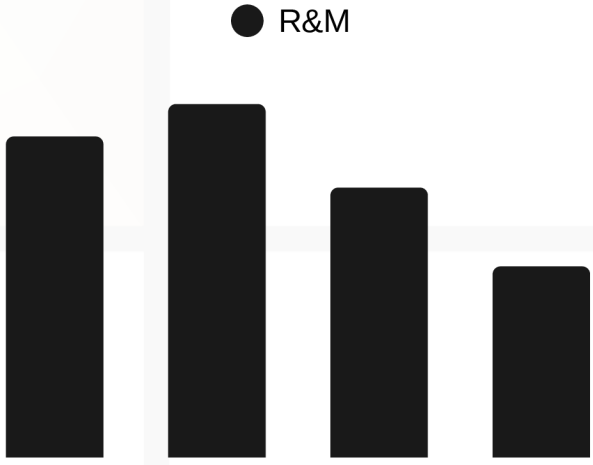
Legal & Professional fees were up last quarter as expected for professional services for tax prep and distribution of new leases for residents.



Utilities remain constant with a slight decrease in the second quarter.



We saw a decrease in marketing as we increase our efforts shown by the increase in occupancy gained in the first quarter.



With our historical Capital Expenditures and community improvements we are happy to see our R&M expense continue to decrease.

OPERATIONAL UPDATE

During the first quarter of 2025, we continued to focus on strengthening property-level performance with an emphasis on collections, tenant retention, and infrastructure readiness. While transaction volume across the broader market remains muted, our operational teams have been fully engaged in driving progress across key communities.

BAY OAKS VILLAGE I & II

Q1 began with active coordination to support our resident compliance process. New leases distributed with new rents at _____. Efforts were also made to scrub common areas and inspect rental homes, helping set community standards ahead of spring sales and leasing efforts.

Similar to BOV 1, the BOV 2 team executed compliance actions through properly distributed notices and maintained momentum on collections and make-ready homes. Onsite maintenance addressed curb appeal and safety items while coordination with residents yielded positive payment plans on outstanding balances post-holiday season. The proactive follow-up is beginning to stabilize collections.

EVERGLADES

Everglades made progress in both legal and maintenance domains. An open eviction case was resolved during the quarter, and community engagement resumed through walkthroughs and service checks, including water and sewer line reviews. With the legal matter closed and operations steadied, Everglades is on track for deeper occupancy improvements in Q2.

LAMBERTON LAKE

Q1 efforts at Lamberton focused primarily on collections and preparing for capex deployment. Multiple residents with outstanding balances were contacted, and consistent follow-up continued through winter. The team also prepped key lots for upcoming vendor bids tied to tree removal and site prep.

OCEANAIRE

Oceanaire saw a number of formal actions this quarter, including demand notices issued for Units 11, 24, and 37. Positive turnover occurred with Samuel Rooney selling his home to Tom Moran. Other efforts included lease renewals, visual inspections, and ongoing updates to Rent Manager. Attention continues to be placed on improving home quality and tenant accountability.

LAMBERTON LAKE

At Lamberton Lake, we have initiated a comprehensive community cleanup to improve the overall environment. Additionally, a tree vendor is on-site, addressing the storm damage from last month. This proactive maintenance ensures safety and enhances the natural beauty of the area.

OCEANAIRE

The rehabilitation of Lot 95 at Oceanaire has been successfully completed. This improvement enhances the overall quality of the community and provides a newly updated home for prospective residents.



